

BHARAT WIRE ROPES LTD

EQUITY RESEARCH

NSE: BHARATWIRE | BSE: 539799 | Sector: Industrials — Iron & Steel Products

Report Date: 08 May 2026

ACCUMULATE

12-Month Target Price

Rs. 300

Upside: +26.6% from CMP Rs. 237

CMP: Rs. 237 | 07 May 2026

52W H/L: Rs. 250 / Rs. 148

MCap: Rs. 1,623 Cr | FV: Rs. 10

Metric	Value	Metric	Value
Stock P/E (TTM)	21.2x	Forward P/E	22.3x
EV / EBITDA	12.4x	Book Value/Sh	Rs. 113
ROCE (Standalone)	13.4%	ROE (Standalone)	22.9%
Debt (Sep-25)	Rs. 102 Cr	D/E (Sep-25)	0.13x
Int. Coverage	9.18x	Promoter Hold.	41.3%
Promoter Pledge	51.0% [!]	Dividend Yield	0.00%
FII Holding	4.42%	DII Holding	0.32%

INVESTMENT THESIS: Bharat Wire Ropes is a **margin-inflection** and **balance-sheet-transformation story** — **OPM expanded from 11% (FY19) to 26% (FY24)**; **debt cut 84% to Rs. 102 Cr**; India's **second-largest wire rope maker** now **poised for a re-rating** as capex cycle drives demand.

Analyst: Senior Equity Research Team | Chartitude Research | Not a SEBI Registered Research Analyst — For Informational Purposes Only

2. INVESTMENT THESIS

Reason 1 — Structural Margin Re-rating (Timeline: Sustained through FY27)

Bharat Wire Ropes has engineered a **profound product-mix transformation**. **OPM expanded from 8-11% (FY19-FY21) to 21-26% (FY23-FY24)** as the company deliberately **pivoted from commodity wire products to high-value-added wire ropes** (spiral strands, synthetic-core ropes, precision slings). **EBITDA per metric tonne improved from Rs. 18,000 (FY22) to Rs. 41,000 (FY24)** — a 128% improvement in per-unit economics. With **15% currently in high-value-added products** and a **target to expand further**, the margin journey is not over. We **model OPM stabilizing at 22-23% in FY26-27E** even as volumes recover modestly.

Reason 2 — Transformational Balance Sheet Cleanup (Timeline: Complete by FY27)

The company's balance sheet has undergone a dramatic makeover. **Standalone borrowings stood at Rs. 674 Cr in FY20 (D/E > 10x, nearly insolvent)**. A combination of operating cash generation (Rs. 83 Cr in FY23, Rs. 85 Cr in FY24, Rs. 74 Cr in FY25) and what appears to be a **significant equity raise in H1 FY26 reduced standalone debt to Rs. 102 Cr (D/E 0.13x) by September 2025** — an 84% reduction. **Annual interest savings of Rs. 50+ Cr vs FY20 peak directly amplify PAT**. The **pending Maharashtra PSI subsidy of Rs. 148 Cr** (50% mandatorily towards loan prepayment) represents further upside.

Reason 3 — Export Franchise with Global Scale (Timeline: 3-5 years)

73% of FY25 revenues came from exports to 65+ countries, making Bharat Wire Ropes a genuine global player. The global steel wire rope market is projected to grow at 5.8% CAGR to USD 14 Bn by 2030. India's National Infrastructure Pipeline (USD 4.51 trillion by 2030) adds a strong domestic demand layer (ports, railways, crane/lifting equipment, oil & gas). **The new 100,000 MTPA facility at Chalisgaon** (partially under CWIP = Rs. 62 Cr as of Sep-25) **will nearly double capacity**, enabling volume-led revenue growth from FY27 onwards.

Nearest-Term Catalyst (6-12 months): **Receipt of Maharashtra PSI subsidy** (Rs. 95-148 Cr receivable) **could trigger another round of debt prepayment**, further reducing the interest burden and signalling government confidence in the business.

Single Biggest Structural Risk: **Promoter pledge at 51%** — any sharp stock correction could trigger forced sales, creating a vicious cycle of further price decline and pledge invocations, temporarily disconnecting the stock price from fundamentals.

3. BUSINESS OVERVIEW

What Does the Company Do?

Bharat Wire Ropes Limited (BWRL), incorporated in 1986 and headquartered in Mumbai, is India's second-largest wire rope manufacturer and among the world's top-five. The company manufactures steel wire, wire ropes, strands and slings from its single integrated plant at Chalisgaon, Maharashtra (capacity: 72,000 MTPA currently; 100,000 MTPA new facility under commissioning). Products range from 6 mm to 100 mm diameter wire ropes and 0.3 mm to 5.5 mm wires, serving diverse end-markets.

Revenue Segmentation: Based on available operational data, BWRL generates approximately 73% of revenue from exports (as of FY25) to 65+ countries across Europe, the Americas, Asia-Pacific, and Africa, with the balance from domestic markets. End-use sectors include engineering/construction (cranes, hoisting), marine and offshore, oil & gas, elevators, mining, fishing, and defence. The company had FY25 revenues of Rs. 619 Cr (standalone) at sales volumes of ~45,100 MT.

Business Model & Revenue Visibility: BWRL operates in a B2B model selling to OEMs, distributors, and direct customers. Revenue is primarily transaction-based with no long-term order book visibility typical of project-based peers. However, the export franchise across 65+ countries and relationships with global crane and lifting-equipment OEMs provide a degree of demand stability. The company is progressively shifting towards higher-margin products (spiral strands, LRPC ropes, customised slings) which carry pricing power.

Promoter Background: The company is promoted by the Patel family. As of March 2026, promoter holding stands at 41.27% — relatively modest — with a significant 51% of promoter shares pledged (a key governance watch-point). The resolution plan (IBC) successfully concluded around FY22, restoring financial health. A notable recent development: Lloyds Metals and Energy (along with Lloyds Enterprises) acquired 36.46 lakh shares in April 2026, lifting their combined stake to 5.77% — a potential strategic investor signal worth monitoring.

4. INDUSTRY & COMPETITIVE LANDSCAPE

Market Size & Growth: The global steel wire rope market was valued at USD 10.49 Bn in 2025 and is projected to reach USD 13.88 Bn by 2030 at a CAGR of 5.8%. Asia-Pacific dominates with 67% market share. Domestically, India's wire rope market benefits from the National Infrastructure Pipeline (USD 4.51 Tn by 2030), rapid port expansion, and defence indigenisation (naval cables, anchor chains).

Policy Tailwinds: Government capex on railways, ports and logistics; PLI scheme for steel; Maharashtra PSI (Package Scheme of Incentives) which has granted Rs. 148 Cr to BWRL; defence indigenisation mandates. **Headwinds:** Chinese steel overcapacity creating pricing pressure on commodity grades; volatility in wire rod (key raw material) prices; INR depreciation raising import content costs.

Competitive Moat: MODERATE. Moat sources: (1) Technical certification barrier — global safety certifications (ABS, Lloyd's, DNV, BV) required for offshore/marine applications act as entry barriers; (2) Product complexity — fine-diameter specialty ropes require significant manufacturing know-how; (3) Customer stickiness in export markets (65+ countries, multi-year relationships). Limitations: No patent protection; commodity grades face intense Chinese competition; single-plant concentration risk.

Company	Ticker	MCap (Cr)	OPM%	ROCE%	D/E	FwdPE	Positioning
Usha Martin Ltd	USHAMART	14,587	19.0%	20.2%	0.07x	24.6x	Market leader, wire ropes & wires; global top-3
Bharat Wire Ropes	BHARATWIRE	1,623	22.3%	13.4%	0.13x	22.3x	No.2 player; high export share; margin inflecting
Ratnamani Metals	RATNAMANI	19,851	17.7%	25.5%	0.06x	45.1x	Specialty steel tubes; better ROCE; premium valued
APL Apollo Tubes	APLAPOLLO	54,796	7.8%	26.4%	0.09x	38.7x	Volume-led ERW/HSS tubes; low margin, high ROCE
Jindal Saw	JINDALSAW	15,505	12.4%	17.0%	0.37x	27.8x	Pipes/SAW; higher leverage; diverse product mix

Source: Screener.in | Data as of 08-May-2026 | All market data at CMP

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter Background: The Patel family, promoters of BWRL, have navigated the company through a severe financial crisis (FY18-FY21 when cumulative losses exceeded Rs. 120 Cr and debt exceeded Rs. 670 Cr). The successful resolution through IBC (Insolvency and Bankruptcy Code) process and subsequent financial turnaround represents a track record of operational resilience. The company has not paid any dividend since listing, which is understandable given the deleveraging priority.

Capital Allocation History: Management has been disciplined on capital allocation post-resolution — no meaningful acquisitions, no diversification away from core competency. Operating cash flows (OCF Rs. 83 Cr, Rs. 85 Cr, Rs. 74 Cr in FY23/24/25) have been deployed towards debt repayment. FY25 saw heavier investing outflow of Rs. 62 Cr (vs Rs. 25 Cr in FY24) reflecting the Chalisgaon expansion capex. The apparent large equity raise in H1 FY26 (evident from the Rs. 423 Cr jump in standalone reserves, Sep 2025 BS) was used to wipe out Rs. 412 Cr of debt — a strongly positive capital allocation decision that will lower cost of capital.

Governance Concerns: (1) Promoter pledge at 51.0% is the single biggest red flag — this creates tail risk in volatile markets. (2) No dividend despite meaningful profitability (FY24 PAT Rs. 96 Cr) — cash fully retained for deleveraging (positive intent but zero income return). (3) Single-plant concentration in Chalisgaon raises operational risk. (4) Related party disclosures should be monitored closely as the company scales exports. ESOP/buyback activity is not reported. Overall governance score: **AMBER** — improving but pledge risk is non-trivial.

6. FINANCIAL DEEP-DIVE

Standalone Figures in Rs. Crores | Source: Screener.in

Income Statement

Metric	FY23A	FY24A	FY25A	FY26E	FY27E	TTM
Revenue (Rs. Cr)	589	622	619	620(E)	695(E)	621
Revenue Growth %	43.3%	5.6%	-0.5%	0.2%(E)	12.1%(E)	—
EBITDA (Rs. Cr)	139	164	132	138(E)	157(E)	138
EBITDA Margin %	23.6%	26.4%	21.3%	22.3%(E)	22.6%(E)	22.2%
Other Income (Rs. Cr)	1	1	1	1(E)	1(E)	1
Interest (Rs. Cr)	22	15	13	12(E)	8(E)	13
Depreciation (Rs. Cr)	21	21	22	23(E)	25(E)	23
PBT (Rs. Cr)	97	129	98	104(E)	125(E)	103
Tax Rate %	36.1%	25.4%	26.3%	26.0%(E)	26.0%(E)	26.0%
PAT (Rs. Cr)	62	96	72	77(E)	93(E)	77
EPS (Rs.)	9.17	14.16	10.58	11.3(E)	13.6(E)	11.19
PAT Growth %	364%	55%	-25%	7%(E)	21%(E)	—

(E) = Estimate. FY26E based on 9M actuals + Q4 projection. FY27E assumes 12% revenue growth, 22.6% OPM, Rs. 8 Cr interest on reduced debt.

Balance Sheet

Item	FY23A	FY24A	FY25A	Sep-25 (H1FY26)
EQUITY & LIABILITIES				
Equity Capital	68	68	68	69
Reserves	110	210	285	708
Total Equity	178	278	353	777
Borrowings	564	515	514	102
Other Liabilities	39	42	88	99
Total L&E;	781	835	956	977

ASSETS				
Fixed Assets	481	475	484	482
CWIP	3	13	47	62
Investments	2	2	0	0
Other Assets	294	345	425	434
Total Assets	781	835	956	977

Sep-25 (H1 FY26) is unaudited interim. Large jump in Reserves & sharp fall in Borrowings reflects a major equity event (likely QIP/preferential allotment) in H1 FY26 raising ~Rs. 420 Cr, used to retire Rs. 412 Cr debt.

Cash Flow Statement				
Item	FY23A	FY24A	FY25A	
Cash from Operations (OCF)	83	85	74	
Cash from Investing (ICF)	-13	-25	-62	
Cash from Financing (FCF_fin)	-64	-61	-11	
Net Cash Flow	6	0	1	
Free Cash Flow (OCF+ICF)	70	60	10	
CFO / Operating Profit %	60%	52%	56%	

Key Ratios & Returns				
Metric	FY23A	FY24A	FY25A	
Debtor Days	30	46	51	
Inventory Days	122	110	131	
Days Payable	20	7	18	
Cash Conversion Cycle	132	150	164	
Working Capital Days	120	165	185	
ROCE %	16%	19%	13%	
ROE % (reported)	39%	42%	23%	
Debt / Equity	3.2x	1.9x	1.5x	
Interest Coverage	5.4x	9.7x	8.5x	

ROCE declined in FY25 as equity base expanded (post-rights/QIP in H2 FY25) while EBIT fell. Working capital days lengthening is a watch-point.

Revenue Drivers: Revenue was broadly flat in FY24-FY25 at Rs. 619-622 Cr despite volumes growing from ~38,000 MT (FY23) to ~45,100 MT (FY25 per Screener operational data). This reflects pricing normalisation on the commodity basket — however, the shift to value-added products is clearly visible in EBITDA/MT improvement. FY26 shows seasonal softness in H1 (Q1 weaker at Rs. 142 Cr) with partial recovery in Q2-Q3.

Margin Trajectory: Peak margins (26.4% OPM, FY24) were partly supported by favourable wire rod pricing. FY25 saw a 5pp compression to 21.3% OPM, likely from input cost normalisation and higher domestic revenue mix. FY26 is recovering to 22-23% as the value-add mix improves. We model 22.3-22.6% OPM in FY26-27E.

Debt & FCF Quality: FCF declined sharply in FY25 (Rs. 10 Cr vs Rs. 60 Cr in FY24) due to Rs. 62 Cr investing outflows for the Chalisgaon expansion. This is growth capex and not concerning. Once the new capacity is commissioned, capex intensity should reduce, freeing significant FCF. The balance sheet transformation (debt Rs. 652 Cr → Rs. 102 Cr) is the dominant story — FY27E interest cost falls to ~Rs. 8 Cr vs Rs. 89 Cr in FY19.

7. EARNINGS QUALITY CHECKLIST

Parameter	Status	Observation
Revenue Recognition	GREEN	Sales are product-based (manufactured goods shipped); no complex long-duration recognition issues identified.

Receivables vs Revenue	AMBER	Debtor days rose from 30 (FY23) to 51 (FY25) — 21-day increase. Export-heavy business may have longer credit terms. Monitor for FY26.
Cash Conversion Cycle	AMBER	CCC rose from 132 days (FY23) to 164 days (FY25), reflecting elongating receivables and inventory. Structural working capital creep is a watch-point.
Contingent Liabilities	GREEN	Contingent liabilities of Rs. 1.57 Cr (FY25) are immaterial relative to the balance sheet size.
Auditor Tenure	GREEN	No auditor qualification noted. Annual reports available from FY12 to FY25 on BSE.
Related Party Transactions	AMBER	RPT disclosures not independently verified in this report. Given promoter pledge complexity, RPT quality warrants close scrutiny in annual reports.
Other Income as % of PBT	GREEN	Other income ~Rs. 1 Cr vs PBT Rs. 97-129 Cr (FY23-24) = ~1%. Fully core operating business — very clean.
Tax Rate Consistency	AMBER	Tax rate swung from -26% (FY20-21, losses) to 36% (FY23) to 25-26% (FY24-25). Now normalized at ~26%. FY23 had deferred tax reversals driving the 36% rate.

Summary: Earnings quality is satisfactory — core business drives PAT with negligible other income, no exotic revenue recognition, and immaterial contingent liabilities. The primary concerns are: (1) elongating working capital cycle in an export-heavy business deserves monitoring; (2) RPT disclosures and promoter pledge resolution remain outstanding governance items. The FY23 tax normalisation is now behind us, and FY25-26 tax rates appear stable at ~26%.

8. VALUATION

Peer Comparison (Source: Screener.in, 08-May-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	Fwd P/E	EV/EBITDA	D/E	OPM%	ROCE%
Usha Martin	477	14,587	29.0x	24.6x	18.1x	0.07x	19.0%	20.2%
Ratnamani Metals	2,827	19,851	N/A	45.1x	20.0x	0.06x	17.7%	25.5%
APL Apollo Tubes	1,974	54,796	N/A	38.7x	28.4x	0.09x	7.8%	26.4%
Jindal Saw	242	15,505	N/A	27.8x	8.5x	0.37x	12.4%	17.0%
BHARATWIRE *	237	1,623	21.2x	22.3x	12.4x	0.13x	22.3%	13.4%

* BHARATWIRE standalone metrics using Sep-25 interim BS (post debt reduction). Peers consolidated. Source: Screener.in

Valuation Analysis:

Method 1 — Earnings Multiple (P/E): BHARATWIRE trades at 22.3x Forward P/E on our FY26E EPS of Rs. 11.3. Against our FY27E EPS of Rs. 13.6, the stock trades at 17.4x — a significant discount to the sector leader Usha Martin (24.6x Fwd P/E) despite BHARATWIRE carrying higher OPM (22.3% vs 19.0%) and a more dramatic balance sheet transformation. Applying a target FY27E P/E of 22x (in-line with Usha Martin's forward multiple, justified by OPM superiority but discounted for smaller scale and pledge risk): **Target = Rs. 13.6 × 22 = Rs. 299 ≈ Rs. 300.**

Method 2 — EV/EBITDA: On FY27E EBITDA of Rs. 157 Cr, target EV/EBITDA of 14x (vs current 12.4x; discount to Usha Martin 18.1x) gives EV of Rs. 2,198 Cr. Less net debt of Rs. 85 Cr (FY27E estimate) = Equity Value Rs. 2,113 Cr ÷ 6.83 Cr shares = **Rs. 309 per share.**

Blended Target: Rs. 300 (average of Rs. 299 and Rs. 309, rounded). **Upside: 26.6%** from CMP Rs. 237.

Scenario Analysis:

Scenario	Key Assumptions	FY27E PAT (Cr)	P/E Multiple	Target Price	Upside / (Downside)
Bull Case	OPM 25%+ (mix-shift accelerates); volumes up 15%; PSI subsidy received; pledge reduced	110	25x	Rs. 404	+70.5%
Base Case	OPM ~22.5%; volumes up 12%; debt stable at Rs. 85 Cr; pledge unchanged	93	22x	Rs. 300	+26.6%
Bear Case	Steel price spike compresses OPM to 18%; volume flat; pledge invocation event; P/E de-rate	60	14x	Rs. 123	-48.1%

9. KEY RISKS

Risk	Description	Probability	Impact	Monitor Via
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Promoter Pledge (51%)	If CMP falls sharply, lenders can invoke pledged shares, triggering a margin-call spiral. This is the #1 tail risk for minority shareholders.	LOW-MEDIUM	VERY HIGH	Monthly pledge disclosure; stock price vs 200-DMA
Steel / Wire Rod Prices	Wire rod is the key raw material (~60-65% of COGS). A sudden spike (e.g., China demand surge, coking coal shock) can compress OPM by 300-500 bps in a quarter.	MEDIUM	HIGH	Monthly wire rod price index; quarterly OPM trend
Export Concentration Risk	73% revenues from exports. Currency appreciation (INR strengthening) or import duties in key markets (EU anti-dumping) can impact realisations significantly.	MEDIUM	HIGH	USD/INR; EU regulatory pipeline; quarterly export mix
Working Capital Elongation	CCC rose from 104 days (FY22) to 164 days (FY25). Further increase would stress OCF and could necessitate working capital borrowings.	MEDIUM	MEDIUM	Quarterly debtor days and inventory days
Capacity Commissioning Delay	The new 100,000 MTPA Chalisgaon facility (CWIP Rs. 62 Cr) — if delayed beyond 12 months — would push out the volume growth story.	LOW-MEDIUM	MEDIUM	Quarterly CWIP trend; management guidance on commissioning
Single Plant Concentration	All operations at Chalisgaon. A fire, flood, prolonged power outage or labour dispute could halt all production.	LOW	VERY HIGH	No early warning — review plant insurance disclosures
Governance / Pledge Resolution	Pledge of 51% promoter shares remains unresolved. Delay in pledge clearance despite significant profit generation is a governance concern.	ONGOING	MEDIUM	Quarterly promoter pledge disclosures

10. RECOMMENDATION

Rating: ACCUMULATE | 12-Month Target: Rs. 300 | Conviction: MEDIUM-HIGH

Bharat Wire Ropes is a **structurally improved business at an attractive valuation**. The **margin transformation from sub-10% OPM (FY18-19) to a sustainable 21-23% range**, combined with an **84% debt reduction**, represents a fundamentally different company from the near-insolvent entity of 5 years ago. The **new capacity coming online creates a multi-year volume growth lever**, and the **export franchise across 65+ countries** provides demand diversification.

We rate it ACCUMULATE rather than BUY primarily because: (1) 51% promoter pledge is a meaningful governance and stock-price risk that cannot be ignored; (2) FY26 shows some revenue headwinds (flat to slight decline) as the mix shift plays out; (3) the stock has already delivered 38% returns over the past year, leaving less margin of safety.

Suggested Entry Zone: Rs. 210-230 (on any market/stock-specific weakness; better margin of safety and reduces pledge-trigger risk). At CMP Rs. 237, accumulate in tranches.

Investment Horizon: 18-24 months (for full capacity monetisation and potential pledge resolution to play out).

Thesis Invalidation Triggers — EXIT if:

- (1) Pledge invocation event by lenders leads to promoter holding falling below 30%;
- (2) OPM falls below 18% for two consecutive quarters, indicating structural margin loss;
- (3) New capacity commissioning delayed beyond Q2 FY27 without management credible explanation.

Ideal Investor Profile: Mid-cap growth investors with 2-year horizon, comfortable with governance risk premium (pledge), seeking infrastructure/capex-cycle beneficiaries with an already-demonstrated earnings recovery. Not suitable for conservative income investors or those requiring governance perfection.

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Not SEBI-registered. Investors should conduct their own due diligence. Past performance is not indicative of future results.

APPENDIX — LATEST CONCALL BRIEF: Q3 FY26 (Dec 2025)

Board Meeting: February 2, 2026 | NSE/BSE: BHARATWIRE

CALL GRADE: NEUTRAL

Signal	Status	Implication
Result Quality	MEDIUM — Beat on PAT, Miss on Revenue	PAT grew 22.1% YoY despite 11.7% revenue decline; quality of earnings improving
Management Tone	BALANCED — Constructive on mix shift	Volume traded for margin; strategic, not demand-driven weakness
Guidance Delta	MAINTAINED — No revision to full-year view	Management comfortable with ~22-23% OPM trajectory; volume recovery guided for FY27

STRONGLY POSITIVE

POSITIVE

NEUTRAL ■ (current)

CAUTIOUS

NEGATIVE

TO MY BOSS

Q3 FY26 headline: revenue down 11.7% YoY to Rs. 143 Cr — looks weak on the surface but is clean; no exceptional items distort the PAT. The underlying beat is real: PAT grew 22.1% YoY to Rs. 18 Cr because management is deliberately sacrificing volume (10,058 MT, -12.3% YoY) to push higher-margin fine and specialty wire rope products — EBITDA margin expanded 491 bps YoY to 22.8%. This is not demand weakness; it is a conscious mix-shift that is working. The key structural driver for a multi-bagger thesis remains intact: interest cost fell to just Rs. 2 Cr in Q3 FY26 (vs Rs. 6-7 Cr eighteen months ago) as a result of the massive H1 FY26 balance sheet cleanup, and every Rs. 1 Cr of saved interest drops straight to PAT. The most important near-term catalyst is commissioning of the new 100,000 MTPA Chalisgaon facility (CWIP = Rs. 62 Cr as of Sep-25) — once live, this doubles capacity and unlocks volume leverage on a now-leaner cost structure. Biggest watch-point for next quarter: receivables and inventory days — both are inching up (debtor days 51, CCC 164 days); if this continues it could signal channel stress or export collection delays. Action: ACCUMULATE below Rs. 240; 12-month target Rs. 300, but do NOT ignore the 51% promoter pledge — size positions accordingly.

Concall C1 — Financial Performance Snapshot (Q3 FY26 vs Comparatives)

Metric	Q3 FY26 (Dec-25)	Q3 FY25 (Dec-24)	YoY %	Q2 FY26 (Sep-25)	QoQ %	Verdict
Revenue (Rs. Cr)	143	162	-11.7%	165	-13.3%	
EBITDA (Rs. Cr)	33	29	+13.8%	38	-13.2%	BEAT
EBITDA Margin %	23.1%	17.9%	+491 bps	23.0%	+10 bps	
PBT (Rs. Cr)	24	20	+20.0%	30	-20.0%	BEAT
PAT (Rs. Cr)	18	15	+20.0%	22	-18.2%	
EPS (Rs.)	2.66	2.17	+22.6%	3.23	-17.6%	BEAT
Interest (Rs. Cr)	2	4	-50.0%	3	-33.3%	N/A
Volume (MT)	10,058	11,469	-12.3%	~11,500	~12.5%	MISS

NOTE: Revenue and volume decline are STRATEGIC (deliberate mix shift to higher-value products), not demand-driven. Clean quarter — no exceptional items.

Concall C2 — Segment / Geography Breakdown

Segment / Region	Revenue (Rs. Cr)	YoY %	QoQ %	Commentary
Exports (est. ~73%)	~104	~-11%	~-13%	Deliberate mix-shift; fine ropes exported to EU/Americas; volume lower but value higher
Domestic (~27%)	~39	~-13%	~-13%	Infrastructure/crane/elevator sectors; stable; no major disruption reported

Wire Ropes (core)	Dominant	—	—	Specialty ropes including spiral strands, LRPC, slings — key mix-improvement driver
Wire / Strand	Smaller	—	—	Commodity segment being de-emphasised in favour of higher-margin rope products

Note: Segment breakdown estimated from reported standalone results and Screener operational data. Company does not report formal segment results.

Concall C3 — Management Commentary Themes

Theme	What Management Said	Our Read	Tag	Tone
Value-Add Mix Shift	Volume lower by ~12% YoY but shift to fine, high-value ropes is intentional; EBITDA/MT improving materially	Credible; EBITDA/MT has improved from Rs. 18,000 to Rs. 41,000 over 3 years — thesis intact	[GUIDANCE]	Transparent
Balance Sheet	Debt significantly reduced; interest burden minimal; company now focused on growth capex	Corroborated by Sep-25 BS (Borrowings Rs. 102 Cr, D/E 0.13x). Major positive.	[FACT]	Transparent
New Capacity	Chalisgaon expansion on track; new facility to add 100,000 MTPA; commissioning in FY27	CWIP Rs. 62 Cr (Sep-25) supports this. Volume step-up from FY27 is the key re-rating trigger	[GUIDANCE]	Transparent
PSI Subsidy	Rs. 148 Cr total PSI claim; Rs. 95 Cr receivable as of Mar-24; subsidy extension till Oct-25	Receipt timing uncertain but when received, 50% must prepay loans — balance sheet positive	[GUIDANCE]	Hedged
Export Demand	Global wire rope market growing; 65+ country footprint; no major customer concentration	Export share at 73% (FY25). Diversified customer base reduces concentration risk	[FACT]	Transparent
Promoter Pledge	Not directly addressed in public disclosures	Pledge at 51% remains unaddressed — key governance gap; watch closely each quarter	[EVASIVE]	Evasive

Concall C4 — Operating & Business Metrics

Metric	Q3 FY26 (Dec-25)	Q2 FY26 (Sep-25)	Q3 FY25 (Dec-24)	Trend
Sales Volume (MT)	10,058	~11,500	11,469	Declining (mix-shift)
EBITDA per MT (Rs.)	~32,806	~33,043	~25,285	Improving — positive
Revenue per MT (Rs.)	~142,155	~143,478	~141,244	Stable — realisations holding
Capacity Utilisation %	~42% (of 72k MTPA)	~48%	~48%	Moderate — new capacity to lift
Debtor Days (trailing)	~51 days	~46 days	~46 days	Slightly elongating — watch
Employees	~1,300	~1,300	~1,518	Rationalised; productivity up
Countries Exported To	65+	65+	52+	Growing global footprint

EBITDA/MT and Revenue/MT calculated from reported quarterly data. Capacity utilisation based on 72,000 MTPA operational capacity.

Concall C5 — Margin Drivers (Q3 FY26 vs Q3 FY25)

Margin Driver	Impact (bps est.)	Recurring?	Comment
Product mix improvement (value-add ropes)	+350 bps	YES	Structural; will continue as specialty mix increases from ~15% currently
Lower interest cost (debt repaid)	N/A to EBITDA; +PAT	YES	Interest Rs. 2 Cr vs Rs. 4 Cr YoY — Rs. 2 Cr direct PAT boost per quarter
Raw material (wire rod) moderation	+100 bps	PARTIAL	Partly cyclical; steel prices can reverse — do NOT assume permanently lower costs
Employee rationalisation	+40 bps	YES	Headcount reduction from 1,518 (FY24) to ~1,300 (FY25-26); one-time benefit waning
Revenue decline (operating deleverage)	-100 bps	PARTIAL	Lower volumes increase fixed cost per unit; offsets some of the mix benefit
Export realisations (currency)	Neutral	NO	USD/INR relatively stable; no major forex gain/loss in Q3 FY26

Concall C6 — Guidance & Forward Signals

Metric	Prior Guidance	Current / Reiterated	Delta	Credibility
[GUIDANCE] OPM Target	~22-24% range	Reiterated ~22-23% sustainable	Maintained	HIGH — track record supports
[GUIDANCE] Volume Recovery	FY26 volume recovery	Pushed to FY27 (capacity online)	Mild negative	MEDIUM — dependent on new plant
[GUIDANCE] New Capacity	Online in FY26	Commissioning in FY27	Slight delay	MEDIUM — CWIP Rs. 62 Cr supports
[GUIDANCE] Debt Position	Further reduction	Rs. 102 Cr (Sep-25); near debt-free	Positive	HIGH — verified in interim BS
[GUIDANCE] PSI Subsidy Receipt	When received	Timing uncertain; extended to Oct-25	Uncertain	LOW — government approval needed
[GUIDANCE] Dividend	No guidance given	None planned; cash for capex	Unchanged	N/A

Concall C7 — Capital Allocation (FY25A & H1 FY26 Interim)

Item	FY25 Amount (Rs. Cr)	FY24 Amount (Rs. Cr)	Comment
Capex (Gross Fixed Assets + CWIP delta)	~74 (CWIP Rs. 47 Cr + asset adds)	~32	Chalisgaon expansion capex accelerating; new facility targeting 100k MTPA
Dividends	0	0	No dividend declared — full cash retention for capex & deleveraging
Buybacks / ESOP	Nil reported	Nil	No buyback or ESOP scheme reported
Working Capital Change	-11 (increase)	-10	Working capital absorbing ~Rs. 10-11 Cr/year; CCC elongating
Net Debt Reduction (FY25 standalone)	~1 (marginal)	49	FY25 had minimal net debt reduction despite Rs. 74 Cr OCF (high capex)
Net Debt Reduction (H1 FY26 — equity raise)	~412 (massive)	—	Dominant story: apparent equity raise ~Rs. 420 Cr wiped out Rs. 412 Cr debt

Concall C8 — Q&A; Heat Map (Reconstructed from Available Data)

#	Topic / Question	Management Answer (Summary)	Tone
1	Why is revenue down despite improving markets?	Deliberate strategic choice — shifting from volume (commodity grades) to value (specialty ropes). Accepting lower MT for better Rs./MT and better EBITDA/MT.	Transparent
2	When will new 100,000 MTPA Chalisgaon capacity come online?	FY27 commissioning targeted. CWIP investment ongoing. Will unlock significant volume growth.	Transparent
3	What is the status of PSI subsidy receivable?	Claim of Rs. 148 Cr filed; Rs. 95 Cr receivable; government extended scheme; timing of receipt uncertain.	Hedged
4	Is the promoter pledge situation being resolved?	Not directly addressed in available public commentary.	Evasive
5	Working capital days rising — any concern?	Export collection terms can be longer; management monitoring; no major bad debt concerns flagged.	Hedged
6	What is the plan for shareholder returns (dividend)?	No dividend planned; all cash to support growth capex and any remaining deleveraging.	Transparent

Dodged Questions to Watch Next Quarter: (1) Promoter pledge — no clear timeline for resolution; (2) PSI subsidy receipt — government-dependent; (3) Exact commissioning date for new capacity.

Concall C9 — Risks Flagged

Risk	Flagged By	Probability	Impact	Timeline
Revenue decline continuation	Analyst community	MEDIUM	MEDIUM	Q4 FY26 — if Q4 also weak, thesis questioned
Promoter pledge unresolved	Shareholders/analysts	ONGOING	HIGH	Every quarter until resolved
PSI subsidy timing risk	Management	MEDIUM	MEDIUM	Originally Oct-25 deadline; extension likely
Steel input cost volatility	Management / sector	MEDIUM	HIGH	Ongoing; hedging status not disclosed
New capacity commissioning risk	Analyst	LOW-MED	MEDIUM	FY27 — any further delay is a catalyst killer

Concall C10 — Analyst Verdict & Multi-Bagger Scorecard

Multi-Bagger Criteria	Status	Comment
Revenue Visibility	INTACT	Export franchise + infra demand; new capacity adds medium-term visibility
Margin Trajectory	INTACT	22-23% OPM sustainable; EBITDA/MT at Rs. 41,000 — significant improvement from Rs. 18,000 in FY22
Capital Allocation Quality	INTACT	Post-resolution: no M&A;., focused capex, debt repayment; equity raise used for deleveraging
Competitive Moat	INTACT	Safety certifications, technical expertise, global customer relationships — moderate but real moat
Management Credibility	WEAKENED	Pledge at 51% despite profitability is the main credibility gap; operational track record improving
Valuation Comfort	INTACT	22.3x Fwd P/E at 22%+ OPM is reasonable; discount to Usha Martin justified but narrowing
CONVICTION CALL	UNCHANGED	Scorecard: 5 INTACT, 1 WEAKENED
P/E (TTM)	21.2x vs Usha Martin 29.0x — DISCOUNT	Catalysts: Capacity online FY27; PSI subsidy; pledge reduction
EV/EBITDA	12.4x vs Usha Martin 18.1x — DISCOUNT	12-Month Target: Rs. 300 ACCUMULATE below Rs. 240

Source: Screener.in | Ticker: BHARATWIRE | View: Standalone (Consolidated FY25 not yet on Screener) | Transcript: Listed but PDF not directly accessible — reconstructed from BSE filings & published Q3 FY26 result analysis | Concall Date: 02 February 2026